

Independent Valuation Study — Educational Analysis

Emirates Integrated Telecommunications Company PJSC (DFM: DU)

du · United Arab Emirates · Integrated telecom operator (mobile · fixed · wholesale · ICT and data centres) Anchor 2026-08-07 · Spot AED 12.30 · Market capitalisation AED 55,755mn

READ FIRST. This study is an educational analysis, not investment advice, a recommendation or a solicitation. It never issues a rating or a price target: it publishes fair-value RANGES and probability DISTRIBUTIONS, and it separates what the business may be worth (sections 1, 4, 5) from where the price could plausibly trade (sections 2, 3, 6) — two different questions that are never blended. All figures are in United Arab Emirates dirhams (AED); the company reports, lists and pays dividends in AED, so no currency translation enters the model anywhere. Historical financials come exclusively from the company's own audited and reviewed consolidated financial statements, read from its investor-relations portal; every input is listed with source and date in the companion bibliography document.

Headline

The business. du is the second operator in the UAE's two-player telecom market: 9,280 thousand mobile customers, 744 thousand fixed subscriptions, four disclosed segments (Mobile, Fixed, Wholesale, ICT), FY2025 revenue AED 15,905mn and an EBITDA margin of 46.1% — with ZERO drawn debt in every year studied and a dividend paid out of essentially all of profit.

The valuation. Weighted central AED 14.77 per share against a spot of AED 12.30 (+20%), inside a full bear-to-bull span of AED 8.26 to AED 28.73. The cash-flow lens alone reads AED 18.74; the market-anchored relative lens reads AED 10.80. That gap is the study's honest tension, and section 4 explains rather than hides it.

The contested judgement. The 38% federal royalty plus 9% corporate tax regime (a 43.6% combined take) is legislated only through 2026. Carried forward it gives AED 18.74; a reversion to the heavier pre-2024 construction gives AED 15.95. Both are published side by side — the judgement is worth AED 2.79 per share and is never averaged into one number.

The moment. This study is struck weeks after a regional war collapsed Gulf tourism and took 412 thousand mobile customers off du's base in a single quarter, and days after the company cut its own revenue guidance while raising the interim dividend. The company's operating licence renewal was disclosed as expected to conclude by 8 August 2026 — one day after this study's price anchor.

Valuation summary — every read at a glance

Lens	Bear	Base	Bull	Weight	vs spot
Discounted cash flow (primary)	10.80	18.74	28.73	45%	+52%
Relative multiples	8.27	10.80	12.97	25%	-12%
Normalised earnings power	8.26	10.78	12.95	20%	-12%
Book value & sustainable return	9.60	14.76	16.00	10%	+20%
Weighted central	8.26	14.77	28.73	100%	+20%
DCF under Framing B (fiscal reversion)		15.95		—	+30%

Expert panel median (Appendix C)		18.64		—	+52%
DCF terminal value share of enterprise value: 85%					

Table 1 — the valuation summary. Weighted central AED 14.77; every lens value is dated at the 2026-08-07 anchor, net of the AED 0.40 final FY2025 dividend paid 28-Apr-2026. The terminal value is 85% of the DCF enterprise value — stated here because a reader should know how much of the primary lens rests on the far future.

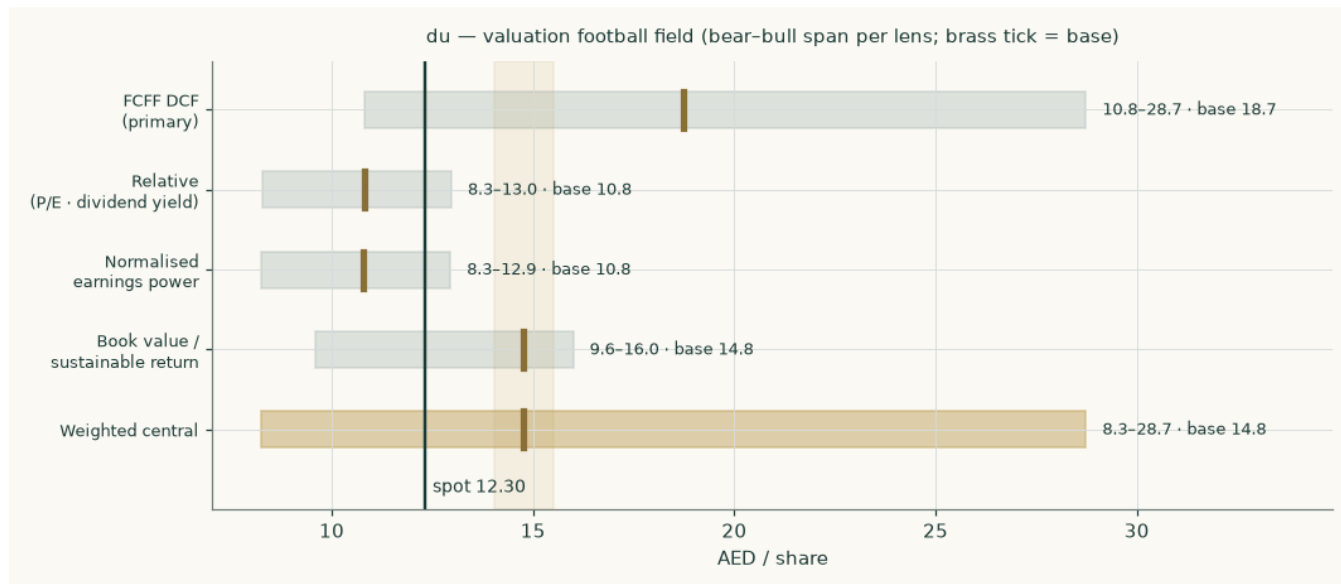


Figure 1 — the valuation football field: bear-to-bull span per lens, brass tick = base, dark line = spot.

Company overview — du at a glance

Emirates Integrated Telecommunications Company PJSC — branded du — launched service in 2007 as the UAE's second licensed operator and has settled into a stable duopoly with e& (formerly Etisalat). It is majority state-anchored: the Emirates Investment Authority is the controlling shareholder, and 2025's main capital-markets event was a secondary offering in which Mubadala's Mamoura vehicle sold three quarters of its stake (7.55% of the company), widening the free float without changing control.

The revenue mix that decides the company's class: FY2025 mobile services AED 7,075mn (44% of revenue), fixed services AED 4,380mn (28%), wholesale AED 2,568mn (16%) and ICT and associated telecom services AED 1,883mn (12%). The balance-sheet shape: network assets (property, plant and equipment AED 10,289mn plus right-of-use assets and intangibles) financed by equity of AED 10,148mn, structurally NEGATIVE working capital (-6.7% of revenue — customers and suppliers fund the operation), no borrowings, and cash plus term deposits of AED 2,250mn against lease liabilities of AED 1,939mn. That is an integrated telecom OPERATING COMPANY, with no captive lender, no development book and no holding-company discount to model: the lens set is the operating-company one — a full FCFF discounted cash flow as the primary lens, cross-read by relative multiples, normalised earnings power and a book/sustainable-return lens.

Two structural facts organise everything else. First, the state takes roughly 44% of pre-royalty profit (38% federal royalty plus 9% corporate tax since 2024; the pre-2024 construction took over half) — so every operating improvement reaches shareholders at barely more than half strength, and the fiscal regime is worth more than any operating driver. Second, the balance sheet is unleveraged with a near-total payout: du is run as a cash-distribution machine on a licence, which is why the licence renewal and the royalty renewal are the two catalysts that matter most (section 5).

The quarter this study is struck in: a regional war that began in February 2026 collapsed Gulf tourism and cut du's prepaid base by 412 thousand in Q2-2026, while postpaid kept growing and H1-2026 net profit still rose +12.6% on an EBITDA margin of 49.2% — the resilience and the vulnerability in one print. A ceasefire is in place; the recovery path is the forecast's biggest operating assumption and is sensitised explicitly.

1 Fundamental valuation

Four lenses, weighted into one field: the discounted cash flow carries 45%, relative multiples 25%, normalised earnings power 20% and the book lens 10%.

1.1 The cash-flow model — the primary lens, with the full waterfall

The model builds five explicit years from the four disclosed segments (section 1.6), charges the combined royalty-and-tax take on operating profit, funds the network and the lease book, releases (negative) working capital as revenue grows, and discounts each year's free cash flow at its own forward cost of capital. The full waterfall — every line of it a live formula in the companion workbook:

AED mn	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	16,593	17,240	18,011	18,734	19,424
EBITDA	7,822	8,117	8,481	8,815	9,132
less depreciation & amortisation	-2,235	-2,352	-2,448	-2,530	-2,582
EBIT	5,587	5,765	6,032	6,284	6,549
NOPAT — EBIT × (1 – 43.6%)	3,153	3,253	3,404	3,546	3,696
add back depreciation & amortisation	2,235	2,352	2,448	2,530	2,582
less capital expenditure	-2,572	-2,586	-2,612	-2,529	-2,525
less lease replacement	-355	-350	-345	-340	-335
less change in working capital	46	43	52	48	46
Free cash flow to the firm	2,507	2,712	2,947	3,256	3,464
discount factor (glide)	0.94	0.89	0.83	0.79	0.74
PV of FCFF	2,358	2,401	2,456	2,556	2,564

Table 2 — the FCFF waterfall. EBITDA margin holds near 47.1% (an OUTPUT of the segment build, not an input); capital intensity glides from 15.5% of revenue at the data-centre peak to 13.0%; lease replacement is charged at right-of-use depreciation so the lease book neither inflates nor starves the cash flow; working-capital change is a cash RELEASE in every year because the working capital is negative and revenue grows.

Terminal value: terminal-year NOPAT grown at 2.5% with a reinvestment rate set by the growth itself — $g / \text{return on capital} = 2.5\% / 26.7\% = 9.4\%$ of NOPAT — capitalised at the terminal cost of capital of 6.08% less growth. That yields a terminal value of AED 95,849mn, whose present value is AED 70,945mn — 85% of enterprise value. A reader should sit with that number: at a 6.08% discount rate almost all of the value of a stable, licence-protected annuity IS the far future, and that is exactly why the two renewal catalysts in section 5 dominate everything else in this report.

The bridge from enterprise value to the equity — and to the anchor date

Step	AED mn	AED / share
Present value of the five forecast years	12,335	2.72
Present value of the terminal value	70,945	15.65
Enterprise value	83,280	18.37

Terminal value share of enterprise value: 85%		
less lease liabilities (the only debt-like item)	-1,939	-0.43
plus cash and term deposits	2,250	0.50
plus equity-accounted investees	0.51	0.00
Equity value at 31-Dec-2025	83,592	18.44
× anchor accretion $(1+K_e)^{(219/365)} = 1.0381$, less the AED 0.40 final dividend paid 28-Apr-2026		
Fair value per share at the 07-Aug-2026 anchor		18.74

Table 3 — enterprise value to equity. There are no minority interests (every subsidiary is wholly owned) and no borrowings to net: the bridge is leases out, cash in. The H1-2026 interim dividend of AED 0.26, declared 23-Jul-2026 but unpaid at the anchor, stays in the share.

Scenario span on this lens: bear AED 10.80 (ARPU –5%, a quarter-million fewer subscribers, margins –3%, +100bp on the discount rate, terminal growth 2.0%), bull AED 28.73 (the war recovery runs hot and the data-centre leg compounds). The base case is deliberately NOT the midpoint of those two: it is built driver by driver in section 1.6.

1.2 Book value and sustainable return — the asset lens

Book value per share is AED 2.24 (audited FY2025 equity of AED 10,148mn over 4,533mn shares). du earned a return on average equity of 29.0% in FY2025 — a licensed duopoly running negative working capital needs very little equity, so the return on it is high by construction. The lens asks what a sustainable 27% return is worth against a perpetual cost of equity of 6.26%: justified price-to-book = $(27\% - 2.5\%) / (6.26\% - 2.5\%) = 6.52\times$, i.e. AED 14.76 per share at the anchor. The multiple looks extreme against industrial norms; it is what the arithmetic of a small equity base and a low required return produces, and the honest caveat is that it is the lens MOST exposed to the low regression beta discussed in section 1.8 — which is why it carries only a 10% weight.

1.3 Relative multiples

du trades at 19.2× trailing earnings and 7.6× trailing EV/EBITDA (both computed from the audited figures, not quoted). The Gulf telecom bracket runs from roughly 9× (Zain) through 11-12× (Omantel, Ooredoo) and 15.5× (Mobily) to 18.9× (stc) and 20.7× (e&) on trailing earnings — aggregator reads, used as a cross-check frame and labelled as such, never as a build source. The justified multiple applied here is the peer median 15.5×: du's growth and payout sit above the bracket's middle, its fiscal take and single-market concentration below the top names. Applied to FY2026E earnings per share of AED 0.70 and rolled to the anchor: AED 10.80 per share [bear 12× → AED 8.27; bull 18.5× → AED 12.97].

A second, independent market cross-check from the dividend: du's FY2026E dividend of AED 0.68 per share at the regional benchmark payer's yield (5.2%, stc) is worth AED 13.12 — usefully ABOVE the earnings-multiple read, because du pays out more of its earnings than the bracket. Peer EV/EBITDA could not be reliably sourced from public aggregators at the sweep date (net-debt figures missing) and the lens therefore runs on earnings and yield only; that limitation is stated rather than papered over.

1.4 Normalised earnings power — mid-cycle margin at current scale

The lens strips the cycle: the mid-cycle EBITDA margin (the middle forecast year, FY2028E, 47.1%) applied to CURRENT-scale revenue (FY2026E, AED 16,593mn), less FY2026E depreciation, plus FY2026E net finance income, taxed at the combined 43.6%: normalised earnings of AED 3,150mn, or AED 0.69 per share. At the justified 15.5× and rolled to the anchor: AED 10.78 [12× → 8.26; 18.5× → 12.95]. It reads within a few fils of the relative lens

because du's current year IS close to mid-cycle: the war knocked the top line, not the margin (H1-2026 printed the best margin in the company's history).

1.5 Synthesis — four lenses, one field

Weighted central: AED 14.77 (+20% to spot), full span AED 8.26 to AED 28.73. The DCF (45% weight) reads +52% above the market; the two market-anchored lenses read roughly at the market. Section 4 takes that disagreement seriously — it is a statement about the discount rate, not about the forecast.

1.6 The drivers — each disclosed segment grown on its own driver

The four disclosed segments, historically

Segment	FY2023*	FY2024	FY2025	FY2025 contribution	margin
Mobile	7,004	6,548	7,075	4,304	60.8%
Fixed	3,780	4,003	4,380	3,758	85.8%
Wholesale	1,768	2,373	2,568	2,219	86.4%
ICT & associated	1,084	1,712	1,883	365	19.4%
Total	13,636	14,636	15,905	10,646	

*Table 4 — segment revenue (AED mn) and FY2025 contribution (revenue less direct costs, the company's own Note 38 measure). *FY2023 is on the pre-2024 segment basis (the wholesale/other boundary moved in the re-segmentation) and is shown for continuity, not comparability; the forecast is built off the consistent FY2024-25 basis. Segment revenue ties exactly to consolidated revenue in every year.*

How the forecast is driven

Mobile and Fixed are built as volume × price — the finest level the company disclosed. Mobile: the quarterly customer base (8,916k end-2024 → 9,704k end-2025 → 9,280k after the war quarter) times blended ARPU (AED 63.3/month in FY2025, 63.4 in Q2-2026). The frame reproduces the audited FY2025 mobile segment to within 0.1%: average base 9,310k × AED 63.3 × 12 = AED 7,072mn against a disclosed AED 7,075mn. The forecast path: recovery to 9,450k by end-2026 (the company itself reports gross adds still below pre-war levels), then to 10,450k by end-2030 — growth of roughly a quarter-million customers a year, well below the boom year 2025 added, with ARPU essentially flat (AED 63.4 → 64.2: postpaid mix gains offsetting prepaid dilution, and no price war anywhere in the record).

Fixed: subscribers 682k → 744k, forecast to 858k on continued fibre and fixed-wireless share gain, times an implied revenue per subscription (a consumer-plus-enterprise blend, so a revenue-intensity metric rather than a tariff) rising gently with the enterprise mix. Wholesale and ICT disclose no unit measures anywhere in the filings — that gap is flagged, and both are grown at segment level: wholesale on a war-recovery path (roaming and transit were hit; -0.8% in 2026 then ~+2%), ICT on the data-centre ramp (+11.0% at peak), which is anchored on the company's own disclosed programme: five data centres, a hyperscale campus with Microsoft as anchor tenant, and capital commitments UP a quarter-billion dirhams in six months.

What the build produces — margins as outputs

	FY2025A	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue (AED mn)	15,905	16,593	17,240	18,011	18,734	19,424
growth		+4.3%	+3.9%	+4.5%	+4.0%	+3.7%
EBITDA (AED mn)	7,338	7,822	8,117	8,481	8,815	9,132

EBITDA margin — an OUTPUT	46.1%	47.1%	47.1%	47.1%	47.1%	47.0%
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Table 5 — the build's output. FY2026E growth of +4.3% lands inside the company's own revised 4-6% guidance; the margin output sits just above the guided 46-47% because the first half already printed 49.2% and the build holds the audited contribution margins rather than forcing the guidance midpoint. The cost stack behind it carries one escalator per cost class: wages on UAE wage inflation, network on network scale, the licence fee and credit losses on revenue, administration on CPI — never one blended index.

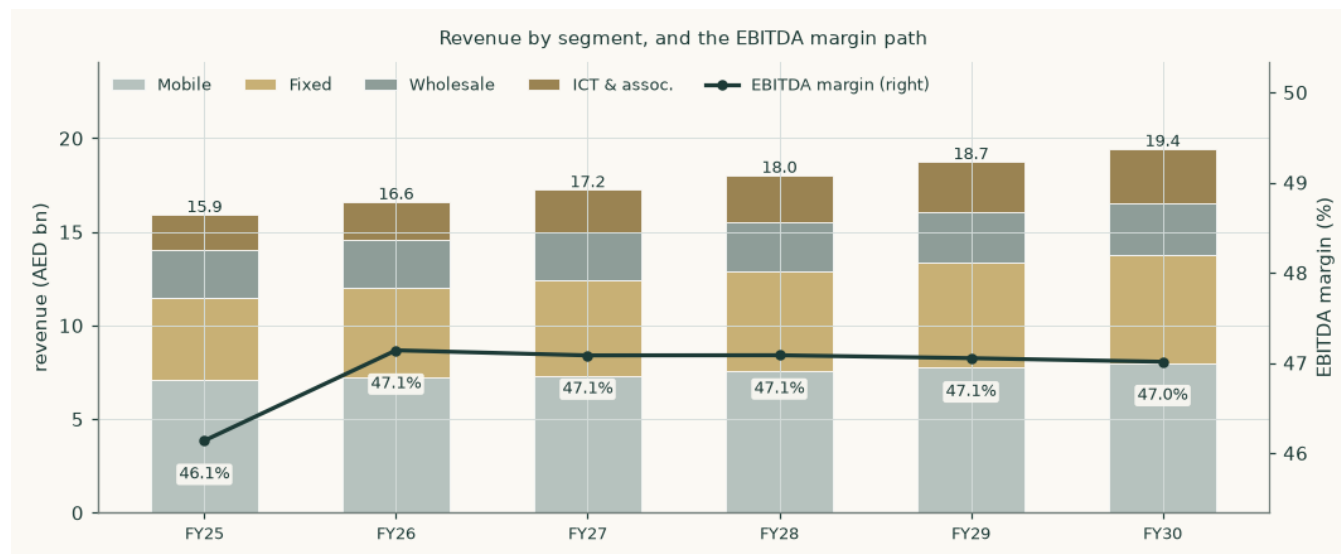


Figure 2 — revenue by segment and the EBITDA margin path. ICT is the growth leg; mobile the recovery story; the margin is flat by construction of the disclosed contribution margins and the escalating cost stack.

1.7 The crux — the state's take first, the licence second, the war third

Every valuation has one judgement that moves it more than all the others. Here it is the FISCAL REGIME. At the current 43.6% combined take the cash-flow lens reads AED 18.74; at the pre-2024 construction's take it reads AED 15.95. In real observable units: every single percentage point of combined take is worth roughly AED 0.38 per share, and the regime that applies from 1 January 2027 was, at this study's sweep date, disclosed in du's own filings only as "effective from 2024 to 2026". A ministry notification extending the same structure to 2027-2029 has been disclosed by the OTHER operator; du's own confirmation had not yet been filed. Section 5 treats that as the first catalyst, and both framings are priced throughout this study.

Second, the licence: the regulator extended du's operating licence only to 8 August 2026 — one day after this study's price anchor — with renewal "in final stage" per the reviewed interim statements. The base case carries renewal on comparable terms (the licence fee held at 2.7% of revenue); every percentage point of revenue added to that fee costs about AED 0.63 per share — priced in the sensitivity table, not waved at. Third, the war recovery: the subscriber sensitivity in section 1.9 spans the outcome from a renewed conflict to a boom-style rebound.

1.8 Macro and country — rates, the peg, and the sourced cost of capital

The dirham is hard-pegged to the dollar, so the UAE imports US monetary policy: the central bank's base rate tracks the Fed, and at the sweep date the market was pricing possible HIKES rather than the cuts of six months earlier. The UAE sovereign is rated Aa2 and its dirham curve auctions THROUGH the US Treasury curve at matched tenors. Growth is strong (around 5% real in 2025) even as the regional war cut the wider region's 2026 outlook; inflation is around 2%.

Component	Value	Source basis
Risk-free rate (Jan-2031 AED T-bond, the longest)	4.48%	UAE MoF auction, 22-Jul-2026

liquid AED tenor)		
less UAE sovereign default spread (Aa2, rating basis)	0.42%	Damodaran dataset, Jan-2026
Risk-free net of the sovereign spread	4.06%	country risk enters ONCE, via the premium
Beta — DU weekly vs the FTSE ADX General Index, 5 years	0.488	own regression; details below
Equity risk premium (UAE total, rating basis)	4.87%	Damodaran, mature 4.23% + country 0.64%
Cost of equity	6.44%	build, not assumption
Marginal cost of debt (AED sovereign + GCC telecom spread)	5.10%	stc sukuk curve evidence; du has no debt
Weights — market equity / lease debt	96.6% / 3.4%	market capitalisation vs the audited lease book
Cost of capital — explicit window	6.32%	
Cost of capital — terminal	6.08%	terminal risk-free 4.30%, debt weight 5%

Table 6 — the cost of capital, built from sourced parts. The sovereign spread is stripped from the risk-free rate because the equity premium already carries the country premium — counting it twice is the classic error this construction exists to avoid. On the second premium basis (market-spread, with the live implied US premium), the same build gives 6.50% cost of equity and 6.38% cost of capital — both bases are published.

The beta — measured, gated, and honestly low

du's beta is measured, not assumed: weekly log-returns against the FTSE ADX General Index — adopted as the base market index for the UAE in this edition — five years, 256 observations: beta 0.488, R^2 0.12, standard error 0.083, 90% confidence interval 0.35 to 0.62. The regression passes the usability gate (enough observations, explanatory power, an error smaller than the estimate). du itself lists on the Dubai Financial Market, so the choice of UAE index is itself shown both ways rather than hidden: against the DFM General — the listing venue's own index — the same construction measures 0.472 (R^2 0.20, a tighter fit), and an equal-weight composite of the market's own large names cross-checks both at 0.400. All three land in the same place: a defensive, negative-net-debt telecom measuring below 0.5 on either UAE index. That number is also the single assumption doing the most work in this study, because at these weights the cost of capital is essentially the cost of equity. Betas of 0.62 (the interval's top), 0.65 and 0.80 are priced in section 1.9: the last takes the DCF from AED 16.97 to AED 12.30. The market, at 19.2× earnings, is implicitly charging a HIGHER required return than any of these regressions produce; section 4 prices that disagreement rather than dismissing it.

Where this construction is contested, and what the alternatives are worth

Contested construction	Base	Alternative	Worth (AED/share)
Risk-free tenor: Jan-2031 AED print vs 10y peg-extrapolated proxy	4.48%	4.69%	17.73 vs 18.74 (-1.01)
Equity premium basis: rating vs market-spread	4.87%	4.66%	cost of capital 6.32% vs 6.38%
Beta: regression vs the sector-implied prior	0.488	0.80	16.97 vs 12.30
Fiscal regime: Framing A vs Framing B	43.6%	51.5%	18.74 vs 15.95

Table 7 — every contested construction priced, not just named. The retired error is also preserved for the audit trail: an UN-netted risk-free rate would have given a 6.86% cost of equity — the sovereign-risk double-count this method exists to prevent.

1.9 Sensitivity — the discount rate, the growth, the regime and the war

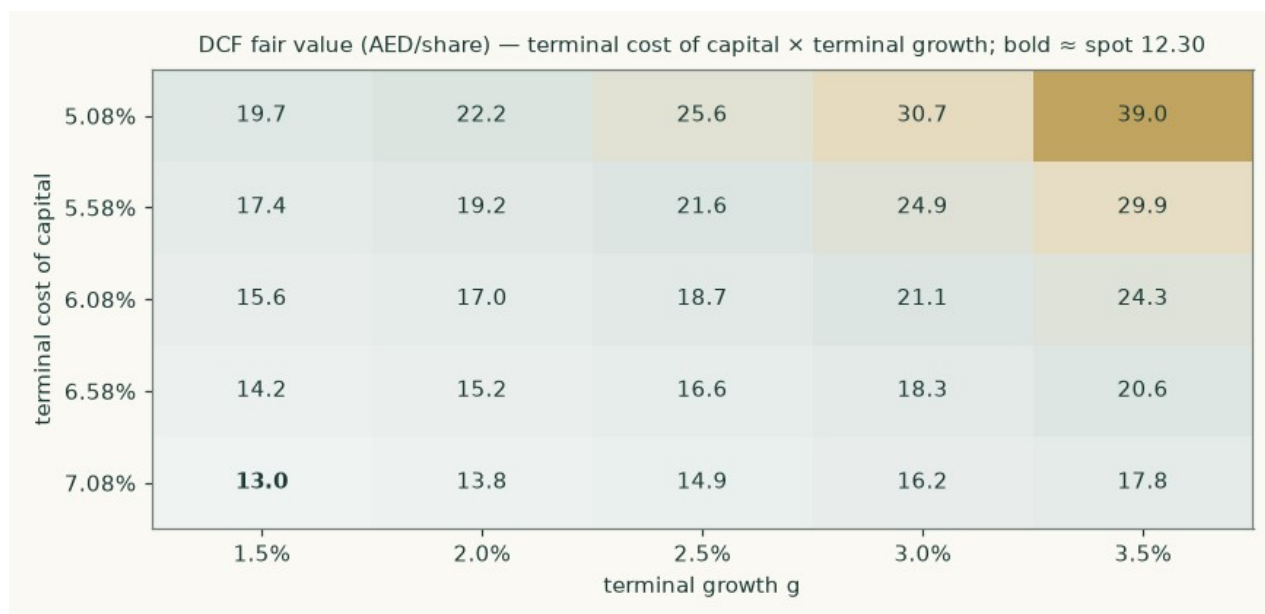


Figure 3 — DCF fair value against the terminal cost of capital and terminal growth. Bold cells sit within about 80 fils of spot.

Driver (grid)			base			swing
Beta (0.35 / 0.49 / 0.62 / 0.65 / 0.80)	20.32	16.97	14.64	14.19	12.30	8.02
Combined fiscal take (40% / 44% / 47% / 50% / 53%)	20.08	18.74	17.46	16.33	15.17	4.92
Blended ARPU ($\times$) (0.92 / 0.96 / 1.00 / 1.04 / 1.08)	16.79	17.77	18.74	19.72	20.70	3.91
Subscribers ('000, shift) (-400 / -200 / +0 / +200 / +400)	17.81	18.28	18.74	19.21	19.68	1.86
Contribution margins ($\times$) (0.94 / 0.97 / 1.00 / 1.03 / 1.06)	16.25	17.50	18.74	19.99	21.23	4.98
Capex path ($\times$) (0.85 / 0.93 / 1.00 / 1.10 / 1.20)	19.79	19.27	18.74	18.05	17.35	2.44
Terminal ROIC (18% / 22% / 27% / 30% / 34%)	17.93	18.39	18.74	18.93	19.11	1.17

Table 8 — single-driver sensitivities on the DCF (AED/share); the middle column is the base. Each cell is a complete re-run of the model including the unit build. The rank order is the study's honest hierarchy: the discount rate and the fiscal regime dwarf every operating driver; among operating drivers ARPU is king, which is why a duopoly that does not price-war deserves its premium.

2 Technical and price structure



Figure 4 — price against the 20-, 50-, 100- and 200-session moving averages over the last 260 sessions.

Marker	Level (AED)	Reading
Last close	12.30	the anchor for everything in this study
20-session average	12.18	price is +1.0% against it
50-session average	11.92	price is +3.2% against it
100-session average	11.22	price is +9.6% against it
200-session average	10.60	price is +16.0% against it
52-week high (closing basis)	12.76	-3.6% from the high
52-week high (intraday)	12.80	-3.9% from the high — the conventional basis, and the wider of the two
52-week low	9.17	+34.1% from the low
Annualised volatility	28.1%	the fitted range-based volatility model's CURRENT state — elevated by the war-quarter swings — and the input to the price cone in section 3

The share sits +16.0% above its 200-session average but -3.6% below its 52-week closing high — an uptrend that has given back its top since the war quarter. Realised volatility over the last 50 sessions is 21.4%; the model's range-based estimate of 28.1% reflects the regime of the last months rather than a single session. None of this is a valuation argument; it is the price context the valuation has to be read against, and the gap between a recovering price and a fundamental central above it is what section 4 addresses.

3 A probabilistic price map

This section answers a different question from the valuation. It does not ask what the business is worth; it asks where the share price could plausibly be in one and three months, given how this share has actually moved. The engine simulates 50,000 price paths from a volatility model fitted to the daily high-low-open-close range, with a fat-tailed shock distribution and a drift anchored to the cost of carry — the dollar policy path under the dirham's peg, net of the dividend yield — carrying no directional view.

The widths below are tested rather than assumed, and the honest result is stated plainly: over the last five years of non-overlapping quarterly windows (19 of them, origins 2021-10-27 to 2026-04-29, each forecast using only data available before it), the model scored -1.15% against a random-walk benchmark anchored on the same cost of carry — statistically indistinguishable from the benchmark (the confidence interval spans zero), neither better nor

worse. Outcomes fell inside the stated bands at least as often as advertised (63% inside the 50% band, 95% inside the 80%, 100% inside the 90%) and were spread evenly across the distribution — a uniformity test returns $p = 0.66$, comfortably consistent with a calibrated forecast. The one real limitation: for this particular low-volatility share the bands run about 52% wider than the benchmark's — the cone is over-cautious rather than over-confident, and a reader should treat the outer bands as generous. Over the full history the model UNDERPERFORMS the benchmark on windows that predate the 2022 change in the exchange's trading week; those windows are excluded from the production calibration for that reason, and the exclusion is disclosed here.

This is a map of price dispersion, not a forecast, and it is never blended with the fair-value work above.

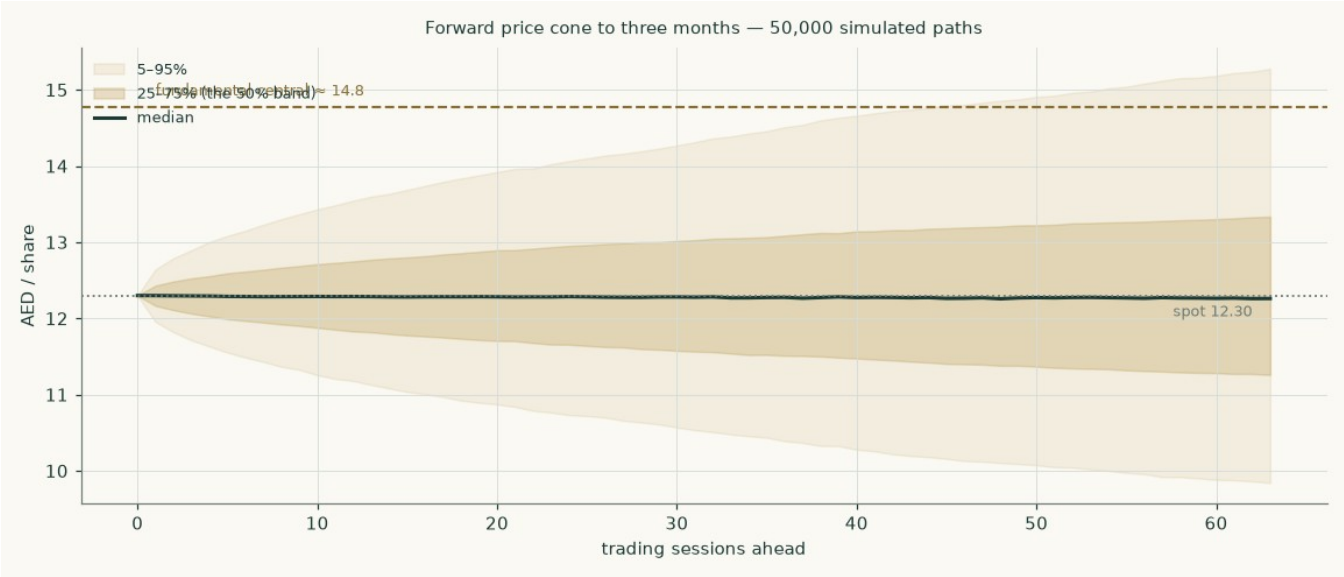


Figure 5 — the forward price cone to three months. The dashed brass line is the fundamental central estimate of 14.77; the dotted line is the spot of 12.30.

Percentile map (AED/share)

Horizon	5th	25th	Median	75th	95th	P(above spot)
One month — to 2026-09-07	10.85	11.71	12.28	12.89	13.88	49%
Three months — to 2026-11-09	9.82	11.26	12.26	13.35	15.32	49%

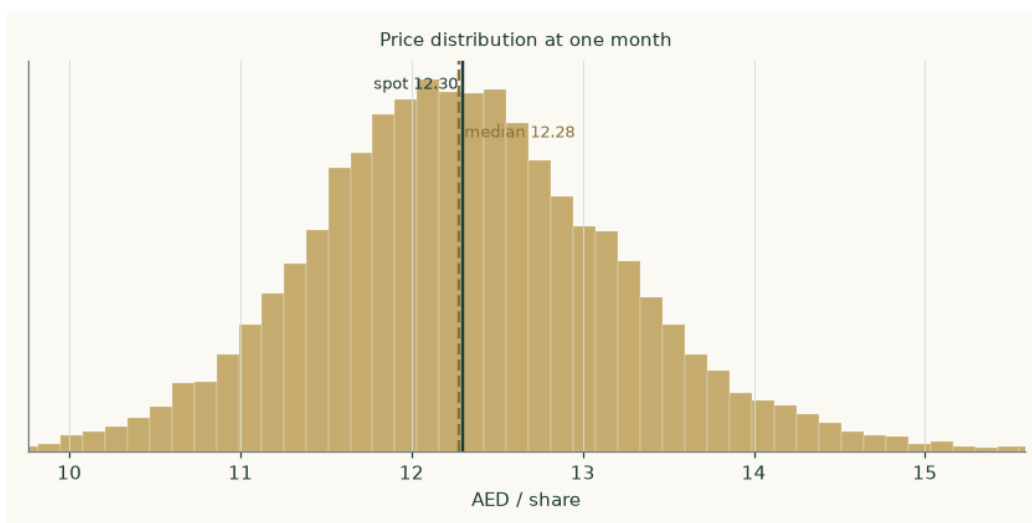


Figure 6 — price distribution at one month.

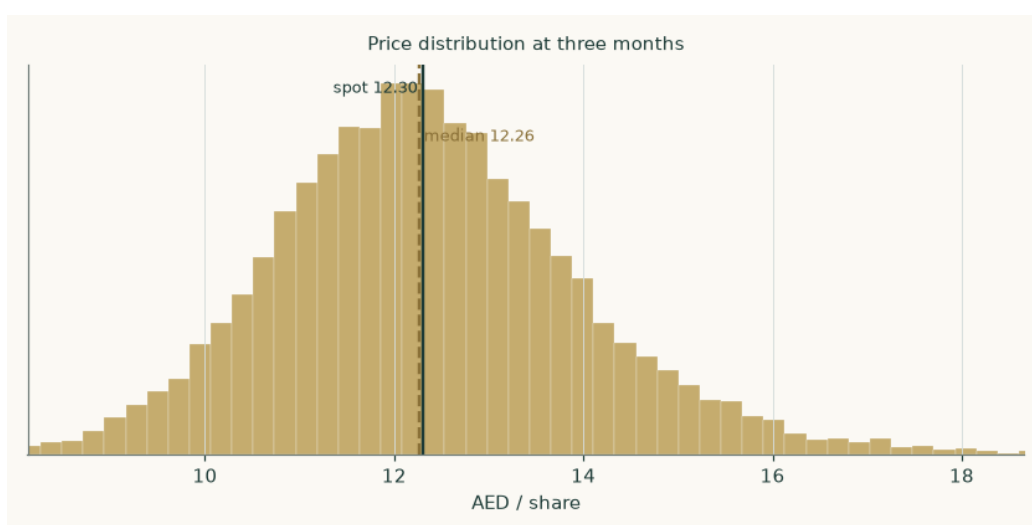


Figure 7 — price distribution at three months.

Level-touch ladder

Event	One month	Three months
Finishes 10% or more above spot	9%	22%
Finishes 10% or more below spot	8%	21%
Touches 10% above spot at any point	15%	41%
Touches 10% below spot at any point	13%	38%

4 Comparison of the lenses

The field disagrees, and the disagreement is informative. The cash-flow lens reads AED 18.74; the two market-anchored lenses read AED 10.80 and AED 10.78; the book lens AED 14.76. The spread is NOT about the forecast — all four lenses consume the same build, and the near-term numbers are anchored on a printed first half. It is about the price of time and certainty: the measured beta prices du's equity at a 6.4% required return, while the regional market, at the peer median multiple, implicitly charges something closer to the return implied by a 15-16x

earnings multiple on a slow-growing annuity — two to three points more. Discount this study's own cash flows at that market-implied rate and you get, in effect, the relative lens.

What would close the gap from each side. The DCF is right and the market re-rates if: the fiscal regime is extended on current terms with the floor lapsing or lightening; the licence renews on comparable terms; the war recovery completes; and the data-centre leg starts printing revenue the market can see. The market is right and the DCF is generous if: the royalty regime reverts or worsens (Framing B alone closes most of the gap — AED 15.95); the measured beta understates the true risk of a single-market, single-licence operator (beta 0.80 alone takes the DCF to AED 12.30); or terminal reinvestment needs are heavier than 9.4% of profit. The weighted central of AED 14.77 embodies exactly this balance: it leans toward the cash flows but pays the market-anchored lenses the 45% respect their discipline has earned.

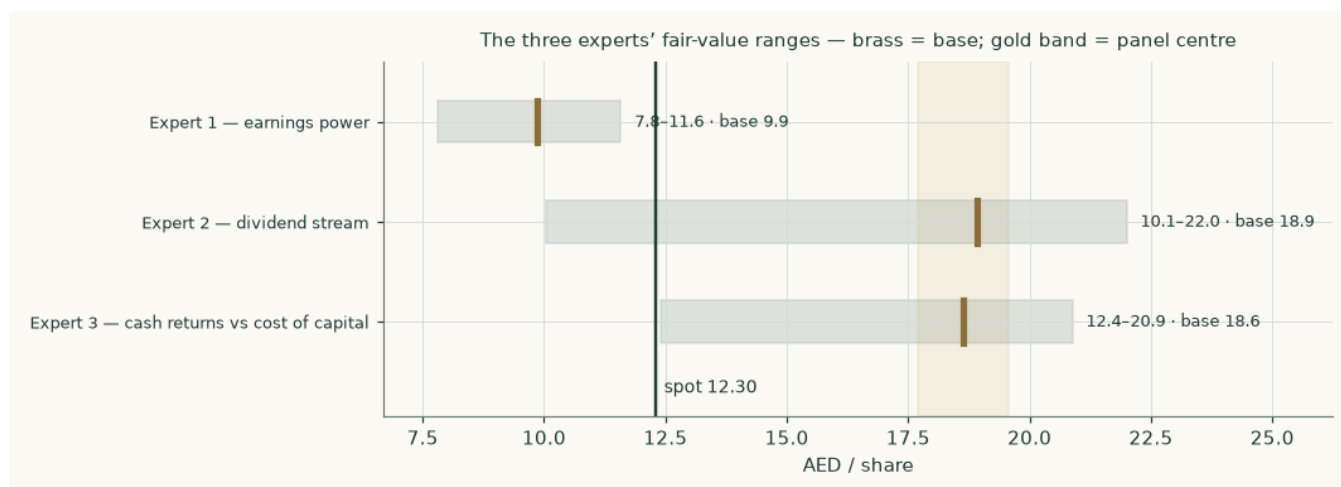


Figure 8 — the expert panel's three independent reads (Appendix C), against spot.

5 Catalysts to watch

- **1 • The post-2026 fiscal regime (direction: either; size: the study's largest).** du's own filings describe the 38% + 9% regime as effective 2024-2026. The other operator has disclosed a ministry notification extending the structure through 2029; du's mirroring disclosure — and whether the AED 1.8bn combined floor carries over — is the single most valuable sentence the company can publish: AED 18.74 versus AED 15.95 per share between the framings.
- **2 • The licence renewal (direction: binary-adverse tail; timing: now).** The TDRA extension ran to 8 August 2026 with conclusion expected "on or before" that date — i.e. the outcome is due at press time. Renewal on comparable terms is the base case and would be a non-event; a renewal that raises the fee ratio costs roughly AED 0.63 per share per percentage point of revenue.
- **3 • The war recovery (direction: up if the ceasefire holds).** Prepaid subscribers, roaming and wholesale transit all recover with tourism; the company itself reports gross adds below pre-war levels with a ceasefire in place. The Q3-2026 print (late October) is the first clean read; a return to net adds above +150k/quarter would put the bull subscriber path in play.
- **4 • The data-centre leg (direction: up; horizon: 2027-2028).** Five data centres plus the Microsoft-anchored hyperscale campus; commitments rose to AED 2,412mn at mid-2026. First disclosed hyperscale revenue — or a named second anchor tenant — would convert the ICT growth path from house assumption to disclosed run-rate.
- **5 • The dividend (direction: up, mechanically).** The board raised the interim 8.3% in the same release that cut revenue guidance — a statement of intent. At the forecast payout the FY2026E dividend is AED 0.68; at the regional benchmark yield that alone is worth AED 13.12 per share (section 1.3).

6 Reading the probability zones

How to read sections 2-3 against section 1. The three-month cone spans AED 9.82 to 15.32 — the price can visit a lot of places in ninety days without any of them being a statement about value. The fundamental central of AED 14.77 sits inside the cone's upper half: reaching it within a quarter would be a strong but not extraordinary move. Three zones, then:

- **Below AED 11.26 (the cone's lower quarter):** price weakness this deep with no fiscal or licence news would widen the value gap mechanically; with adverse regime news it would simply be the market pricing Framing B — check which before reading it as opportunity.
- **AED 11.26 to 13.35 (the middle half):** noise. Nothing in this band changes any conclusion in this study.
- **Above AED 13.35:** the market starting to pay for the recovery and the regime extension before they are printed; at the cone's top the share would still sit below the cash-flow lens but at the weighted central.

The cone is honest about its own limits: for this share its bands have historically run wider than needed (section 3), so the outer zones are conservative.

7 Caveats and what would change our mind

- **The discount rate is the study.** A 0.47 measured beta against an Aa2 curve prices du's equity at 6.4%. Every conclusion that differs from the market traces to that number; section 1.8 prices the alternatives and section 4 takes the other side seriously. If du's risk is the sector's rather than its regression's, the central is several dirhams lower.
- **The terminal value is most of the value.** 85% of the DCF's enterprise value is beyond year five. That is the honest shape of a low-discount-rate annuity, and it is why the licence and the royalty — the two things that could touch the annuity itself — outrank every operating driver.
- **The fiscal regime is not ours to forecast.** Both framings are priced throughout; the study REFUSES a single number where the state has not yet published one. If a harsher-than-either construction emerged, both framings would need re-striking.
- **The war path.** The base case assumes the ceasefire holds and tourism normalises into 2027. A re-opened conflict invalidates the subscriber path, the wholesale recovery and possibly the multiple — the bear scenario, not the base.
- **Wholesale and ICT are built top-down.** No unit disclosures exist for either; both are flagged. The ICT ramp in particular leans on a disclosed programme whose revenue model (colocation vs services) the company has not yet broken out.
- **What would change our mind, concretely.** A royalty construction harsher than Framing B; licence renewal terms materially above the current fee ratio; two consecutive quarters of negative postpaid net adds; ARPU breaking below AED 60 without a mix explanation; or the payout being cut other than for a named investment programme. Any one of these re-opens the build; the register in Appendix B tells a reader exactly which inputs to re-examine first.

Appendix A Financial statements

A.1 Income statement — three years historical and five years forecast (consolidated, AED mn)

AED mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
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Revenue	13,636	14,636	15,905	16,593	17,240	18,011	18,734	19,424
EBITDA	5,800	6,470	7,338	7,822	8,117	8,481	8,815	9,132
EBITDA margin	42.5%	44.2%	46.1%	47.1%	47.1%	47.1%	47.1%	47.0%
Depreciation & amortisation	-2,198	-2,154	-2,168	-2,235	-2,352	-2,448	-2,530	-2,582
Operating profit (EBIT)	3,601	4,316	5,170	5,587	5,765	6,032	6,284	6,549
Net finance income / (cost)	—	-8	-20	4	-15	-31	-43	-51
Profit before royalty and tax	3,559	4,306	5,149	5,591	5,750	6,002	6,241	6,498
Federal royalty and income tax	-1,891	-1,819	-2,244	-2,436	-2,505	-2,615	-2,719	-2,831
Net profit	1,668	2,488	2,905	3,155	3,245	3,387	3,522	3,667
Earnings per share (AED)	0.37	0.55	0.64	0.70	0.72	0.75	0.78	0.81
Dividend per share (AED)	0.34	0.54	0.64	0.68	0.70	0.73	0.76	0.79

Table A1 — FY2023-25 are the audited figures (FY2024 on the re-presented basis of the FY2025 statements, so the two recent years sit on one presentation; FY2023 EBITDA is derived from audited components because the older format prints no such line, and is flagged as such). The FY2023 royalty is the old-regime charge; no corporate income tax existed before 2024.

A.2 Balance sheet — condensed house layout (consolidated, AED mn)

AED mn	FY2023	FY2024	FY2025	FY26E	FY27E	FY28E	FY29E	FY30E
Property, plant and equipment	9,723	9,838	10,289	10,887	11,403	11,860	12,173	12,432
Right-of-use assets	1,597	1,657	1,515	1,515	1,515	1,515	1,515	1,515
Intangibles (excl. goodwill)	1,111	847	870	963	1,031	1,083	1,109	1,127
Goodwill	—	413	413	413	413	413	413	413
Net working capital	-965	-1,220	-1,062	-1,108	-1,152	-1,203	-1,251	-1,297
Cash and term deposits	1,937	2,283	2,250	1,667	1,191	802	582	423
Lease liabilities	2,105	1,999	1,939	1,939	1,939	1,939	1,939	1,939
Total equity	9,243	9,878	10,148	10,211	10,276	10,344	10,414	10,488
Net cash after leases	-168	285	311	-272	-748	-1,137	-1,357	-1,515

Table A2 — a condensed layout: receivables, payables, contract balances and the royalty accrual are netted inside working capital (the FY2023 payables line still contained the royalty accrual, separately disclosed from FY2024; it is excluded in every year so the series is like-for-like). Zero drawn borrowings in every year shown. Goodwill was not a separate line in the FY2023 layout.

A.3 Forecast balance sheet and cash-flow markers

The equity walk: profit less the 98% payout compounds equity from AED 10,148mn to AED 10,488mn by FY2030E. The cash walk is the stress line: at a near-total payout plus the data-centre capex peak, cash and term deposits fall from AED 2,250mn to AED 423mn at the trough before rebuilding — the audited mid-2026 position (term deposits nil after the royalty settlement and final dividend) already shows exactly this mechanic, and the undrawn AED 2.0bn facility is the disclosed backstop. Working capital RELEASES cash every year; the lease book is held flat with replacement charged at depreciation.

Appendix B Peer frame, risk register — and the research register

B.1 Peers and the sector frame

Company	Market	Trailing P/E	Yield	Read-across
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e&	UAE (ADX)	~20.7×	~4.8%	the duopoly partner: scale + international assets earn the premium multiple
stc	Saudi Arabia	~18.9×	~5.2%	the regional benchmark payer
Mobily	Saudi Arabia	~15.5×	~2.9%	closest structural analogue — the #2 that closed the gap; sets the justified P/E
Ooredoo	Qatar	~12.5×	~4.6%	multi-market, softer growth
Zain	Kuwait	~9×	~6-7%	levered multi-market; the bracket floor
Omantel	Oman	~11.4×	~6.7%	small-market incumbent, yield-heavy
DT / Vodafone	Developed	n/m	~3.4%	the developed bracket: more leverage, lower returns, lower multiples

Table B1 — aggregator reads at the sweep date, labelled cross-check; never a build source. du computes at 19.2× trailing earnings and 7.6× trailing EV/EBITDA from its own audited figures.

B.2 Risk register

Risk	Mechanism	Where it is priced
Fiscal regime reversion or worsening	combined take above the current 44%	Framing B throughout: AED 15.95
Licence renewal on worse terms	fee ratio above 2.7% of revenue	~AED 0.63/share per +1pp (section 1.9)
War re-escalation	prepaid, roaming, wholesale transit reverse	subscriber sensitivity and the DCF bear
Required-return mismeasurement	the 0.47 regression beta understates true risk	beta grid to 0.80: AED 12.30
Data-centre execution	ICT ramp slips; capex stays high without the revenue	ICT growth and capex grids
Payout sustainability	near-total payout + capex peak drains liquidity	the cash walk in A.3; the undrawn facility is the backstop
Concentration	one market, one regulator, one licence	the weight given to market-anchored lenses in the synthesis

B.3 The research register — layers, dated, negative results included

The full input register — every input with value, source and date, grouped by research layer, with the judgement table (each judgement paired with what would overturn it), the negative-results table and the source-discrepancy notes — ships as the companion bibliography document. Highlights a reader should know: all statement figures were read from the company's own audited/reviewed filings on its investor-relations portal (four complete fiscal years, plus both 2026 interims, swept in before the build); the UAE sovereign credit-default-swap quote was UNREACHABLE at the sweep date and the market spread was proxied by the traded Abu Dhabi dollar curve, disclosed rather than silently substituted; no public peer EV/EBITDA was clean enough to use; and no announcement of concluded licence-renewal terms existed at the sweep date — a dated negative search, not an oversight.

Appendix C The expert valuation panel

Three experts, three genuinely different methods, each with worked arithmetic, a named sensitivity and a falsifier stated in advance. They are labelled Expert 1/2/3; their methods, not their names, are the point. Cast by method: an earnings-power investor, a dividend-stream investor, and an economic-profit analyst.

C.1 Expert 1 — earnings power: through-cycle earnings at a conservative multiple

Worldview: buy durable earnings power at a multiple that does not need the story to work. Works best on stable franchises near mid-cycle; fails when the cycle is mistaken for the trend or when a regime change (here: fiscal) resets the earnings base itself.

Step	Value
Mid-cycle earnings per share (FY2028E)	0.75
Through-cycle multiple applied	15.0×
Value at FY2028, discounted two years at the cost of equity	10.27 (before the paid-dividend adjustment)
less the final FY2025 dividend paid before the anchor	0.40
Expert 1 fair value (anchor date)	9.87
Range: 12× to 17.5× the same earnings	7.82 – 11.58

Named sensitivity: the multiple. Each turn of the multiple is worth AED 0.68 per share at mid-cycle earnings. Falsifier, stated in advance: if FY2027 earnings per share prints below the FY2026 estimate — i.e. the war recovery stalls into earnings — the mid-cycle base is wrong and this read is withdrawn.

C.2 Expert 2 — the dividend stream: the natural lens for a full-payout duopoly

Worldview: for a company that pays out essentially everything, the dividend IS the cash flow; value it directly as a growing perpetuity. Works best when payout is policy, not accident, and the balance sheet cannot be raided; fails when the payout is about to be cut — the model capitalises a promise.

Step	Value
FY2026E dividend per share	0.68
grown at 2.5% into a perpetuity at the terminal cost of equity 6.26%	$0.68 \times 1.025 / (6.26\% - 2.5\%)$
less the final FY2025 dividend paid before the anchor	0.40
Expert 2 fair value (anchor date)	18.92
Range: cut-and-higher-rate bear to 3%-growth bull	10.05 – 22.00

Named sensitivity: the growth-rate spread ($K_e - g$). At these levels each 50 basis points of spread is worth roughly AED 2.52 per share. Falsifier: an interim or final dividend DECLARED lower than the prior year's equivalent — the first cut in the record — withdraws this read immediately.

C.3 Expert 3 — cash returns: economic profit on invested capital

Worldview: value = capital + the present value of returns ABOVE the cost of capital; a franchise is only worth a premium while its return spread lasts. Works best where invested capital is measurable and returns are stable; fails when intangible capital (spectrum rights, the licence itself) does the earning but sits off the balance sheet — which flatters the measured return.

Step	AED mn
Invested capital, FY2025 (PP&E + right-of-use + intangibles + goodwill + working capital)	12,025

PV of five years of economic profit (NOPAT less capital charge at the forward rate)	10,814
PV of the terminal economic-profit annuity	59,996
Implied enterprise value	82,834
bridge to equity (leases out, cash in), per share at the anchor	18.64
Range: fading spreads bear to the rate-tenor bull	12.40 – 20.88

The return spread behind it: forecast returns on capital of 26% / 25% / 25% / 26% / 26% against forward costs of capital of 6.3% / 6.3% / 6.2% / 6.1% / 6.1% — a spread of roughly twenty points, which is what a licensed duopoly with negative working capital looks like in this framework. Named sensitivity: terminal capital intensity — if the data-centre era permanently raises invested capital per dirham of profit, the terminal annuity shrinks. Falsifier: return on invested capital printing below 20% for two consecutive years.

C.4 Cross-examination

- **Expert 2 to Expert 1:** your multiple is a market mood; my denominator is a policy rate. CONCEDED in part by Expert 1: the multiple carries sentiment — which is exactly why it is set at the peer median rather than du's own historical average.
- **Expert 1 to Expert 2:** you capitalise a promise at a 3.7-point spread; one cut and your number is fiction. REJECTED by Expert 2: the payout has risen through a war quarter and a guidance cut — the board has told you what the dividend is for.
- **Expert 3 to both:** neither of you charges for capital. The spread is the asset. CONCEDED by both — with the counter, ACCEPTED by Expert 3, that his invested-capital base omits the licence value itself, so his measured spread flatters the franchise precisely when the licence is up for renewal.
- **All three to the primary model:** the DCF's terminal value is 85% of enterprise value at a discount rate its own section calls the study's biggest assumption. The model's answer: the beta is measured, gated, cross-checked, and priced against its alternatives in two separate tables — the disagreement is put in front of the reader rather than resolved by fiat.

C.5 The three in one room

Where they land: Expert 1 at AED 9.87, Expert 2 at AED 18.92, Expert 3 at AED 18.64 — a panel median of AED 18.64. The shape of the disagreement is the study in miniature: the earnings-power read hugs the market because it borrows the market's multiple; the two cash-based reads sit together well above it because they price du's cash at du's measured risk. The room's one joint statement: at spot, the market is paying for the annuity and giving the growth legs — data centres, the war recovery, the postpaid mix — away for little.

C.6 Reading the divergence

Gap	Driver of the gap	Worth (AED/share)
Expert 1 (9.87) vs Expert 2 (18.92)	market multiple vs measured cost of equity as the price of the same cash	9.05
Expert 2 (18.92) vs Expert 3 (18.64)	payout-as-perpetuity vs capital-charged spread — small, because at ~100% payout the dividend nearly IS the economic profit	0.28
Panel median vs the study's weighted central (14.77)	the synthesis deliberately weights the market-anchored lenses the panel's cash-flow majority does not	3.87

Table C1 — the divergence table: which assumption drives which gap.

About this series

Testahil publishes independent, educational valuation studies of listed companies and metals. Each study separates fundamental value (built from audited filings, bottom-up) from price probability (a calibrated simulation of where the price could trade), and publishes ranges and distributions rather than targets. Delivered studies are never retro-edited; corrections are made forward, in the open. The companion Excel model is formula-driven so every figure can be traced to its driver, and the companion bibliography lists every input with source and date.

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